Professional Ethics

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LECTURE - 10

Department of Engineering Management (DEM) –

Course Information

Course Name	Professional Ethics
Course Code	HU-222
Credit Hours	2
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Visiting Hours	2-4 pm

Cross-functional Teams

- Cross-functional team is a group of people with different functional expertise working toward a common goal
- It may include people from finance, marketing, operations, and human resources departments
- It includes employees from all levels of an organization

Cross-functional Teams

- Startup or small business work environment
- Because of its size, there is no place for company separation into a vertical organization
- Your marketing, sales, budget, outreach, etc. People have to work together on projects simply because they make the company
- Cross-functional work occurs when you work horizontally across departments

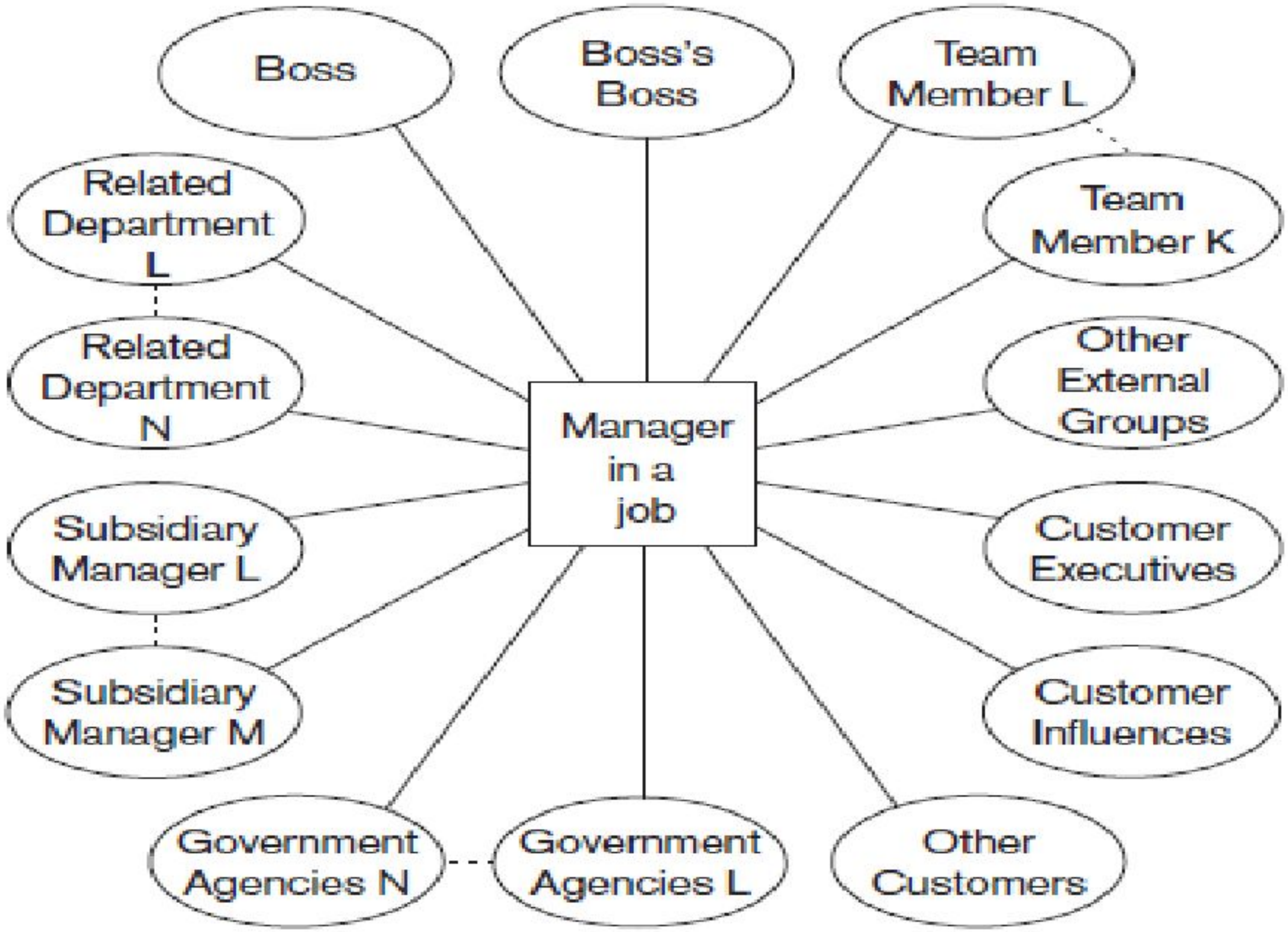
Moral Responsibilities of Cross-functional Area Professionals

- Goal of a stakeholder analysis is to encourage and prepare organizational managers to articulate their own moral responsibilities
- With the Internet, the transparency of all organizational actors and internal stakeholders increases the risk and stakes of unethical practices
- Chat rooms, message boards, and breaking- news sites provide instant platforms for exposing both rumor and accurate news about companies

Manager’s Stakeholders

Figure 3.7

A Manager's Stakeholders



Note: The letters K, L, M, and N are hypothetical designations in place of real department names. Dotted lines refer to hypothetical linkages.

Marketing and Sales Professionals and Managers as Stakeholders

- Sales professionals and managers are continuously engaged, electronically and/or face-to-face with customers, suppliers, and vendors

- They are evaluated on quotas and quantitative expectations on a weekly, monthly, quarterly basis

- Sales professionals must continually balance their personal ethics and their professional pressures

- What weight do my beliefs and ethics have when measured against my departments and company's performance measures for me?

Marketing and Sales Professionals and Managers as Stakeholders

- Where is the line between unethical and ethical practices for me?

- Truthfulness (and legality) of the data and information they issue to the public about products and services

- Moral dilemmas can arise for marketing managers who may be asked to promote unsafe products or to implement advertising campaigns that are untrue or not in the consumer's best interests

- A major moral dilemma for marketing managers is having to choose between a profitable decision and a socially responsible one

R&D, Engineering Professionals, and Managers as Stakeholders

- R&D managers and engineers are responsible for the safety and reliability of product design
- Space Shuttle *Challenger* disaster, Jan 28, 1986
- *Challenger* tore apart 73 seconds after lift-off from Cape Canaveral, Florida
- The commission not only found fault with a failed sealant ring but also with the officials at the NASA who allowed the shuttle launch to take place despite concerns voiced by NASA engineers regarding the safety of the launch

R&D, Engineering Professionals, and Managers as Stakeholders

- Lack of individual responsibility and the poor critical judgment of NASA administrators contributed to the miscommunication and resulting disaster

- Moral dilemmas can arise for R&D engineers whose technical judgments and risk assessments conflict with administrative managers seeking profit and time-to-market deadlines

- R&D managers also can benefit from doing a stakeholder analysis, before disasters like the *Challenger* occur

Accounting and Finance Professionals and Managers as Stakeholders

- Accounting and finance professionals are responsible for the welfare of clients and safeguard their financial interests

- Many of these professions are part of regulated industries

- However, the recent corporate scandals at Enron, Tyco and other large firms showed that company culture, individual and team judgment, greed, and lack of integrity contributed to executives' "cooking the books"

Accounting and Finance Professionals and Managers as Stakeholders

- Factors in these professions that trigger unethical activities include:

  - Pressures from senior officers and supervisors to “maximize profits,” sometimes at any cost
  - Lack of integrity (truthfulness, conscience) of leaders, supervisors, and employees
  - Corporate cultures that devalue clients, investors, and employees
  - Requests from clients to change financial statements and tax returns and commit tax fraud
  - Conflict of interest and lack of auditor independence between client and auditing firm
  - Blurring professional and personal roles and responsibilities between client and professional. These issues are in part related to societal, structural problems

Public Relations Managers as Stakeholders

- PR managers are responsible for transmitting, receiving, and interpreting information about employees, products, services, and the company

- Moral dilemmas can arise when PR managers must defend company actions that have possible or known harmful effects on the public or stakeholders

- A stakeholder analysis can prepare PR managers and inform them about the situation, the stakes, and the strategies they must address

Human Resource Managers as Stakeholders

- Human resource managers (HRMs) are on the front line of helping other managers recruit, hire, fire, promote, evaluate, reward, discipline, transfer, and counsel employees
- They face constant ethical pressures and uncertainties over issues about invasion of privacy and violations of employees' rights
- Moral dilemmas can arise specially when individual rights of employees and corporate self-interests, especially when reductions in force (RIFs) and other hiring or firing decisions are involved

Managing Ethical Conflicts

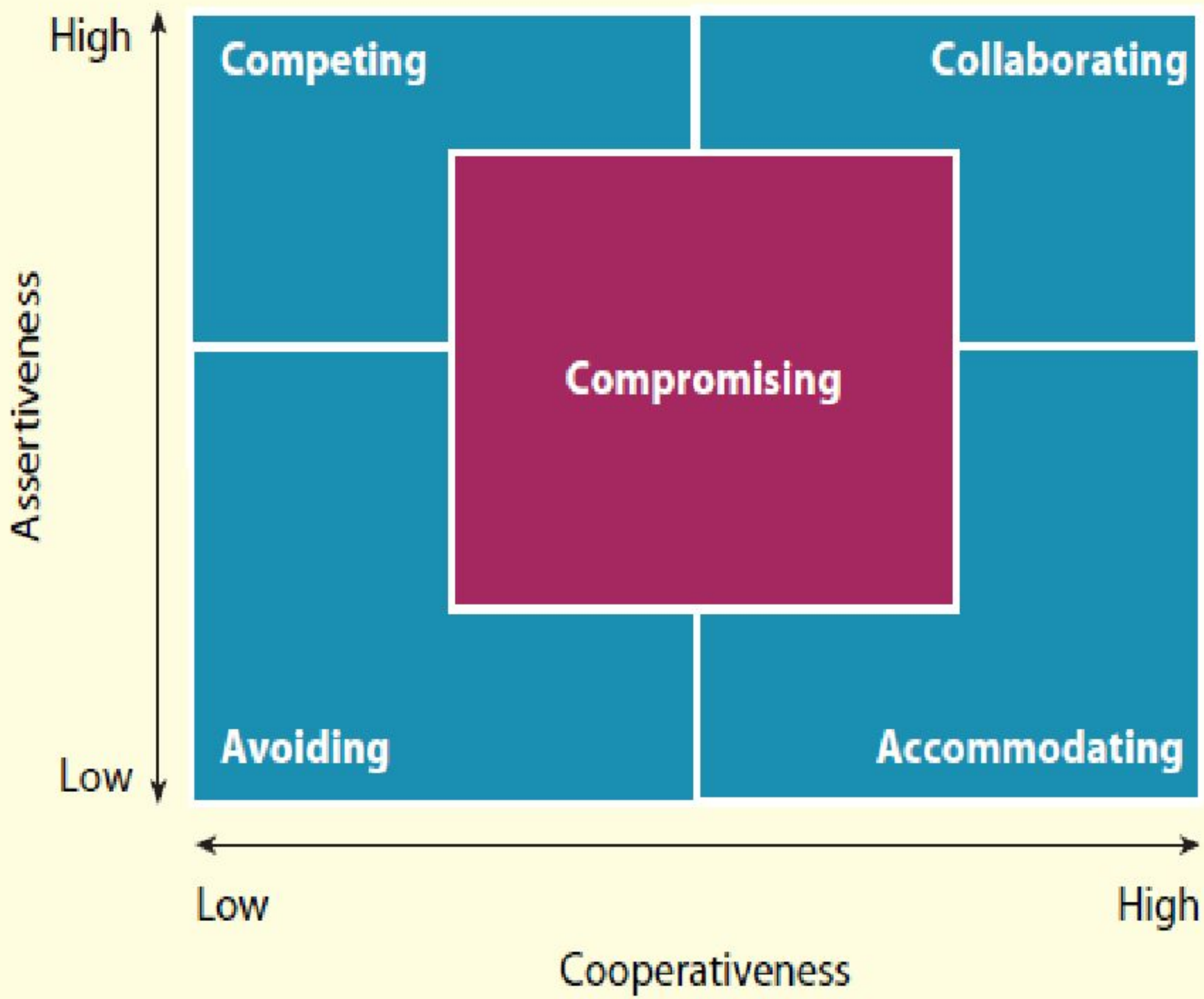
- Ethical conflicts occur when there are two or more positions on an ethical decision

- Sometimes ethical conflicts emerge because employees feel uncomfortable about their own or their co-workers' decisions

- One benefit of ethical conflict is it helps pinpoint ethical issues

- Ethical decision making does not occur unless an ethical issue is identified and needs to be resolved

Conflict Management Styles



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